Whose Money Is It?

The shift that remade Goldman's investing business — from betting its own money to managing everyone else's — explained from absolute zero

Labels: CORROBORATED public record · TRANSCRIPT your events (Ahmed, the private credit partner) · INFERRED reasoning · 17 Aug 2026

The sentence you asked about, decoded in one line: Goldman used to invest *its own* money and keep the profits; now it mostly invests *clients'* money and charges fees for doing it — about 90% of what its funds invest is client money, only ~10% Goldman's own. TRANSCRIPT (Ahmed's figures)

Why that swap of whose-money-it-is changed everything — the rules, the risks, the profits, and why your team exists — is the whole of this document.

Step 0 — The two pots (the only concept you need first)

POT 1: Goldman's own money
"the balance sheet" — shareholders' capital plus money the firm borrows

POT 2: Other people's money
"third-party capital" — pensions, sovereign funds, insurers, wealthy families

Every investment firm on earth invests from one of these two pots. The entire story is Goldman moving from Pot 1 to Pot 2.

"Balance sheet" demystified: a company's balance sheet is simply the ledger of what it owns and owes. When people say Goldman "invested its balance sheet," they mean: *the firm put its own money into deals* — buying stakes in companies, making loans, buying buildings — the way you might invest your own savings. Win, and the profit is all Goldman's. Lose, and the loss is all Goldman's too.

Step 1 — The OLD model: Goldman the player

Goldman's own pot (balance sheet) → **Investments** company stakes · loans · property · distressed assets → **ALL profits & ALL losses** land on Goldman

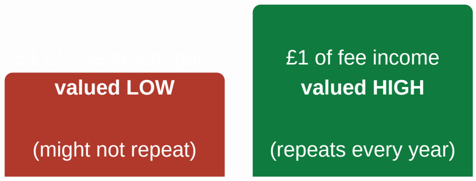
Before ~2019: the merchant bank and "Special Situations Group" invested Goldman's own capital. Great in good years; brutal in bad ones.

For decades this was part of what made Goldman famous — the firm was, in part, a giant investor betting its own capital alongside advising clients. The profits could be spectacular. So why abandon it?

Step 2 — Four forces killed the old model

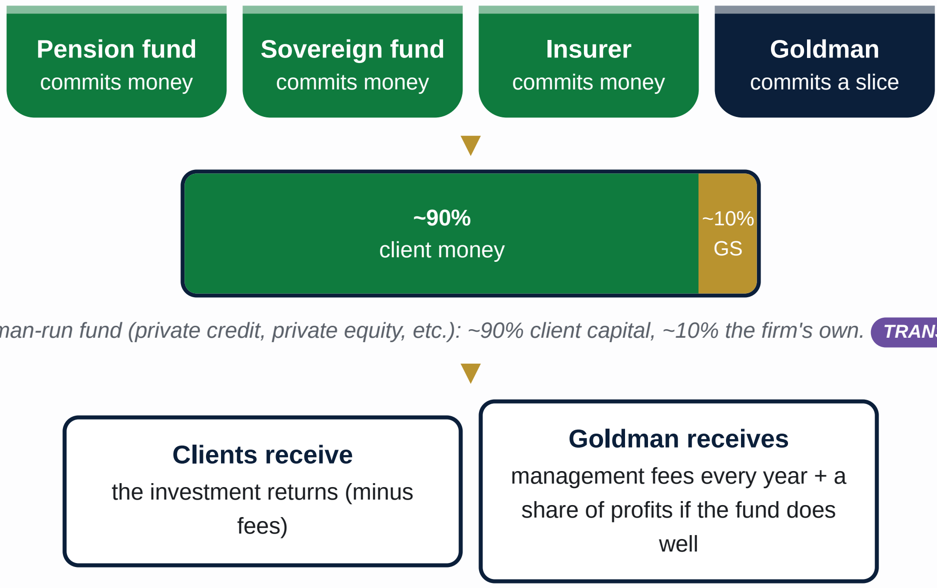
Force	From zero: what it means
1. Regulation made it expensive CORROBORATED	After the 2008 crisis, new rules (Basel III capital requirements, the US "Volcker Rule") said: if a bank wants to hold risky, hard-to-sell investments with its own money, it must hold a thick safety cushion of spare capital against them — and some own-money investing was banned outright. Imagine

	being told that for every £1 you bet, you must also lock £1 in a drawer you can't touch. The bet has to be twice as good to be worth it. Most weren't anymore.
2. The timing trap TRANSCRIPT	Ahmed's exact point: *"balance sheet is constrained and can be pulled at the worst time."* In a crisis, Goldman needs its own money to defend its core business — so the investing teams get their capital yanked away at precisely the moment markets are cheapest and the best bargains exist. Client money in a locked fund is committed for 10+ years: **it cannot run away in a panic.** For long-term investing, other people's committed money is structurally *better* money.
3. Own pot is finite; client pots are not TRANSCRIPT	*"Client capital scales."* Goldman's own investable pot is capped by its size. The world's pensions, sovereign funds and insurers hold tens of trillions. A business built on Pot 1 can only grow as fast as Goldman grows; a business built on Pot 2 can grow as fast as clients say yes.
4. The stock market pays more for fees CORROBORATED	Investment gains are lumpy — huge one year, negative the next — so investors don't trust them and value each £1 of such profit cheaply. Fee income arrives steadily every year, so each £1 of it is valued richly. Same pound, different price. Shareholders pushed Goldman toward the pounds that count for more.



Force 4 in one picture: the market pays more for a predictable pound than a lumpy one.

Step 3 — The NEW model: Goldman the manager



A Goldman-run fund (private credit, private equity, etc.): ~90% client capital, ~10% the firm's own. TRANSCRIPT

Goldman still does the investing — same skills, same deals — but now as a **steward of other people's money**, earning fees, rather than a gambler of its own. Ahmed's phrase for the result: the platform now *"looks and feels like an external manager."* That's what your quoted sentence means: Goldman's investing arm now behaves like BlackRock or Blackstone behaves — a professional manager of client funds — rather than like a hedge fund betting the house's chips.

The arithmetic that makes it irresistible

Old way	New way

Invest £1 of your own Earn the return on £1 AND lock up expensive safety capital AND eat every loss yourself	Manage £100 of client money (commit £2 of your own) Earn ~1–2% of £100 every single year + a slice of the profits with barely any capital locked up

Illustrative percentages ***INFERRED — typical industry fee shapes; Goldman doesn't disclose exact rates****. The point is the shape, not the decimals: fees on a big pot beat returns on a small one, with far less risk.*

Step 4 — Why keep the 10% at all?

- **Skin in the game.** Clients want the chef eating their own cooking: Goldman investing alongside them proves it believes in the fund. A manager with zero money in its own fund is a red flag.
- **Seeding.** A brand-new strategy has no track record, so clients won't commit yet. Goldman's own money goes first, builds the record, and client money follows. The 10% is the pilot light.
- **The rules cap it anyway.** Regulation limits how much of its own money a bank may put into its funds — the 10% is partly a choice, partly a ceiling.

Step 5 — The consequence that leads directly to your seat

Follow the logic one final step. Under the old model, the constraint on the investing business was **capital** — how much of its own money Goldman could spare. Under the new model, Goldman can create any fund it likes; the constraint is **clients** — who will commit money, and who will stay.

The moment "client capital scales" became the model, **the people who win and keep clients became the growth engine of the entire division.** That is why the centralised client group Ahmed described exists, why relationships are treated as the crown jewels, and why the Client Solutions seat sits exactly on the pressure point of the whole redesign. The balance-sheet shift didn't just change Goldman's accounting — **it created the strategic importance of the job you're applying for.** They rebuilt the engine so that trust, not capital, is the fuel.

Mini glossary

Balance sheet	The ledger of what a firm owns and owes; "investing the balance sheet" = investing the firm's own money.
Third-party capital	Other people's money entrusted to a manager — pensions, sovereign funds, insurers, families.
Principal investing	The old model: a firm investing its own capital for its own profit.
GP / sponsor	The manager who runs a fund (Goldman's role now); investors in the fund are "LPs" (limited partners).
Management fee	The annual percentage of client money the manager charges — the steady income.
Carried interest	The manager's share of a fund's profits above a hurdle — the upside kicker.
Committed capital	Money clients contractually pledge to a fund for ~10+ years — it cannot flee in a panic.
Volcker Rule / Basel III	Post-2008 rules that made own-money investing by banks restricted and capital-expensive.
Seeding	A manager using its own money to launch a new fund and build the track record clients need to see.

Sources. The ~90/10 split, "pulled at the worst time," "client capital scales," "looks and feels like an external manager," and the consolidation story: Ahmed (partner, private credit), your insight-event transcript TRANSCRIPT. The regulatory shift (Basel III, Volcker) and the sell-down of Goldman's legacy on-balance-sheet investments: widely documented public record CORROBORATED. Fee shapes and the arithmetic: illustrative industry norms INFERRED — Goldman does not disclose fund-level fees. Companion documents: doc 21 (the profitability myth & One GS anatomy), doc 13 (why CSG exists), doc 15 (the alternatives engine). Re-verify any number before quoting it aloud.